

2021 State of B2B Digital Marketing:

Capitalize on Increased Budgets & Post-Pandemic Opportunities

WPROMOTE

Why This Report Matters

B2B marketers had a roller coaster of a year: between canceled conferences and remote work, digital marketing dominated B2B strategies in 2020. Subsequent advances in technology, data, and digital channels have created an enormous opportunity for organizations operating in the B2B space to innovate and grow like never before.

But what critical shifts in digital strategy are B2B marketers using to drive more success in a post-pandemic world?

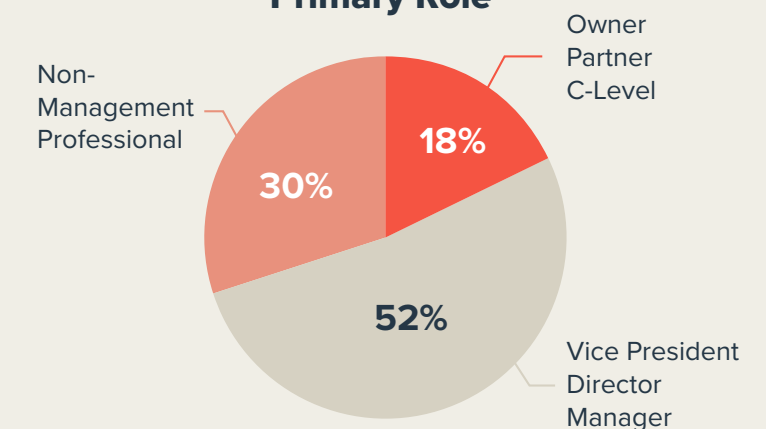
We surveyed B2B marketers to find out what's working, what's not, and how your brand can come out ahead after a year of unprecedented change.

How We Got The Data

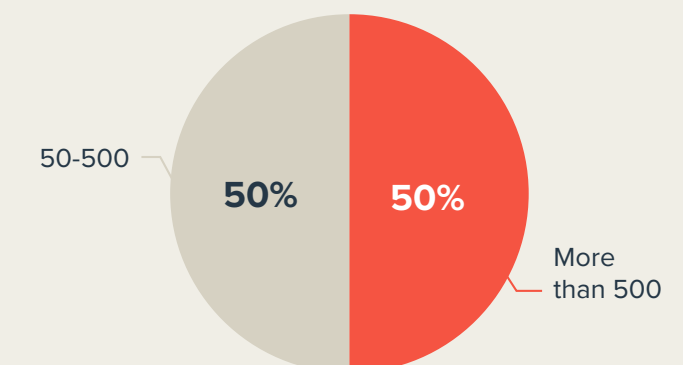
In May 2021, Ascend2 and Wpromote fielded a custom online survey to 258 B2B marketing professionals and a curated list of marketing research subscribers, all representing organizations with more than 50 employees from a variety of industries. Here's how that group breaks down:



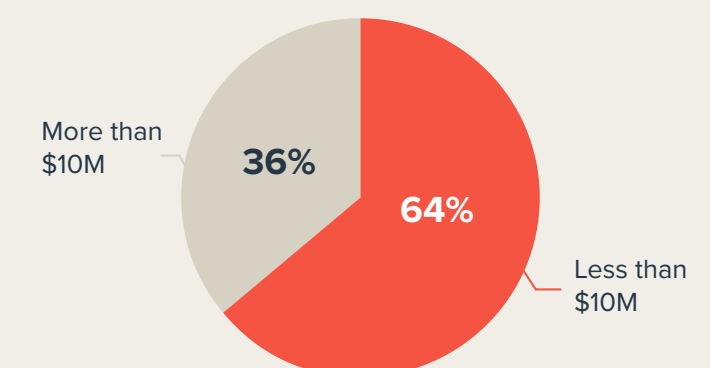
Primary Role



Number of Employees



Approximate Revenue



Key Findings



Customer connection is everything: The most important objectives for B2B marketers are increasing customer engagement, improving customer experience, and improving brand awareness.

Budgets are going up: Overall, 68% of B2B marketers expect an increase in digital budget in the coming months.

Large companies struggle to prioritize quality over quantity: Producing quality content, improving customer experience, and delivery of quality leads top the list of challenges for companies with annual revenue of more than \$10M last year.

Silos ≠ success: The most successful B2B marketers are more likely to work with other departments to improve customer experience than their less successful counterparts.

Time keeps on slipping: 60% of B2B marketers say that “wasted time” is the greatest cost associated with lead generation struggles.

ABM could be a game-changer: B2B marketers who reported the most success from their digital strategies are more likely to have an ABM strategy in place.

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B2B DIGITAL
MARKETING IS
CHANGING FASTER
THAN EVER

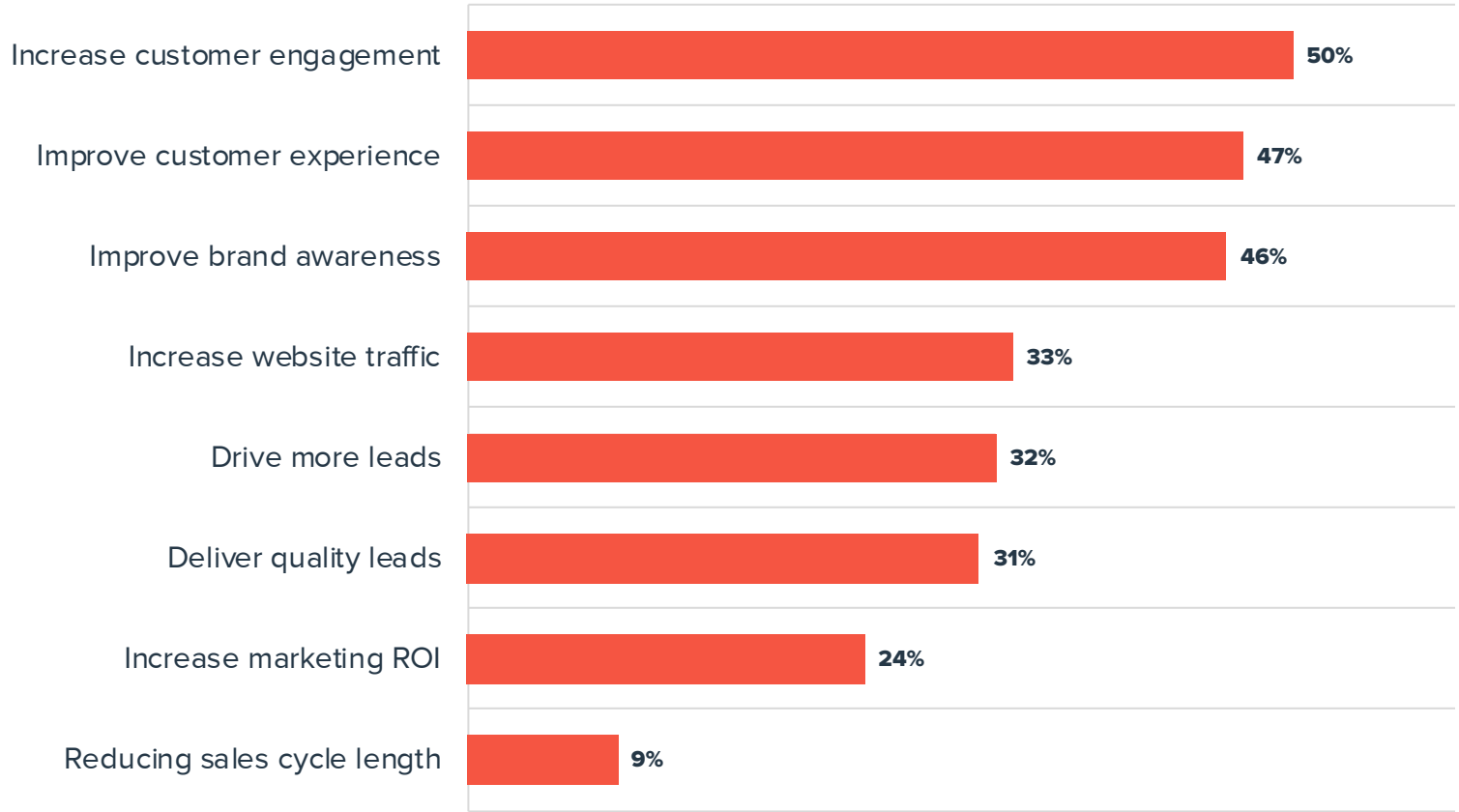
Objectives

As the digital marketing landscape continues to evolve, marketers have recognized that customers are no longer satisfied with the B2B status quo; instead, they are investing in building a more personalized and experience-driven approach. An engaging, exceptional customer experience is fast becoming a non-negotiable part of a B2B digital marketing strategy.

- 50% are focused on increasing customer engagement
- 47% are focused on improving customer experience
- 46% are focused on improving brand awareness



What are the PRIMARY OBJECTIVES of your digital marketing strategy?



B2B STRATEGY SPOTLIGHT:

Prioritizing Customer Experience

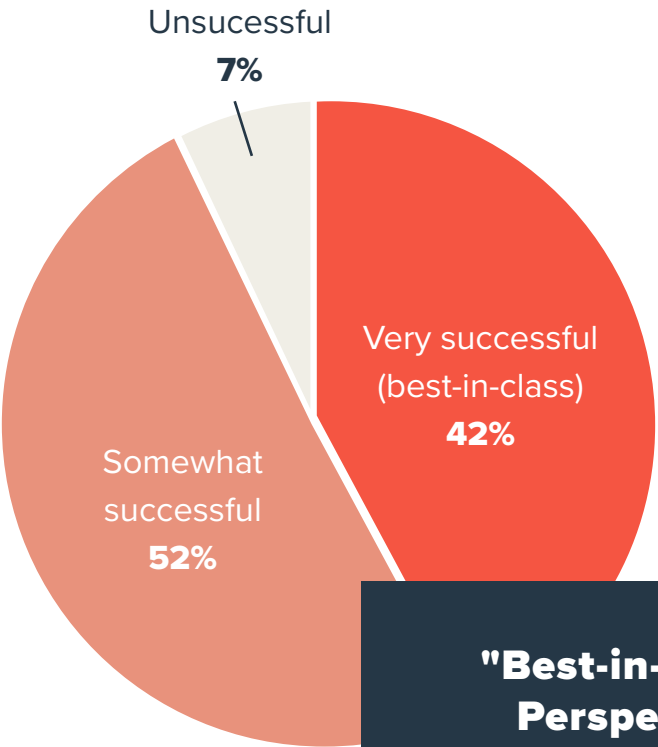


B2B marketers have had to confront changing expectations from buyers when it comes to customer experience: the days of long, drawn-out sales processes are likely numbered, and associated practices like hidden prices are also probably on the downswing.

More and more, ease of process and accessible product information will be essential differentiators in the purchase decision, and that requires a rapid change in thinking for B2B marketers that embraces the customer-centric strategies already adopted by top performers on the B2C side.

Overall, B2B marketers are feeling positive about achieving strategic objectives in digital marketing, but there’s still room for improvement. While the vast majority of those surveyed report that their marketing strategy is successful to some extent, over half (52%) say their strategy is only somewhat successful.

How successfully are B2B marketers executing on their objectives?



"Best-in-Class" Perspective

The group of marketers who describe their own marketing strategy as very successful or "best-in-class" when it comes to achieving their top priorities lends particularly helpful insight into which tactics are producing the best results.

How are "Best-in-Class" B2B marketers measuring success?

44%
Website Traffic

38%
Cost-Per-Lead

36%
Customer Acquisition Cost

36%
Attributed Revenue

35%
Lead Volume (MQLs & SQLs)

33%
Conversion Rate (Lead to Customer)

31%
Return on Investment

Challenges



As organizations grow, priorities change—and so do the challenges facing marketers. Smaller B2B companies are much more focused on the bottom of the funnel, identifying sales and marketing alignment and lead generation quantity as two of the three top challenges.

But organizations generating OVER \$10M in annual revenue indicate their biggest challenges are centered on more mature marketing strategies associated with moving up the funnel, pointing to quality content

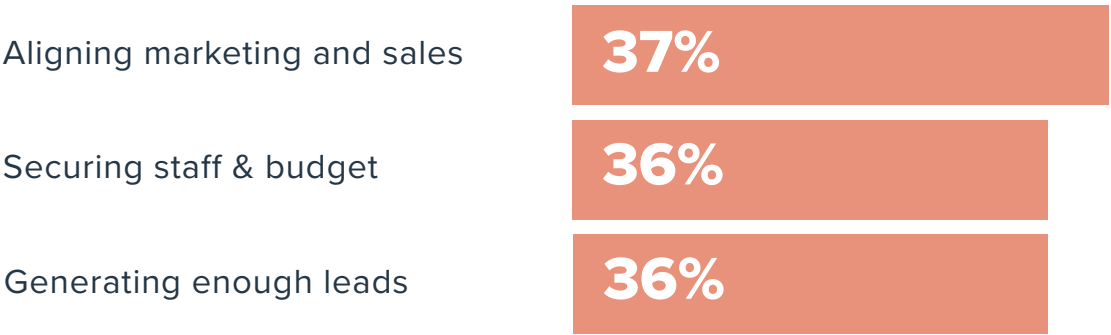
production (38%) and improving customer experience (37%) as the top two barriers to marketing success.

Larger organizations are less concerned with lead quantity than lead quality, which is a frequent indicator of B2B marketing maturity.

Over one-third (34%) of B2B marketers reported that a prominent shift of focus in their digital strategy was from lead quantity to lead quality in the past year.

What are the major barriers to B2B marketing success?

Organizations generating UNDER \$10M in annual revenue



Organizations generating OVER \$10M in annual revenue



THE BIGGEST ORGANIZATIONS ARE STRUGGLING WITH QUALITY CONTENT PRODUCTION AND IMPROVED CUSTOMER EXPERIENCE

Digital Trends

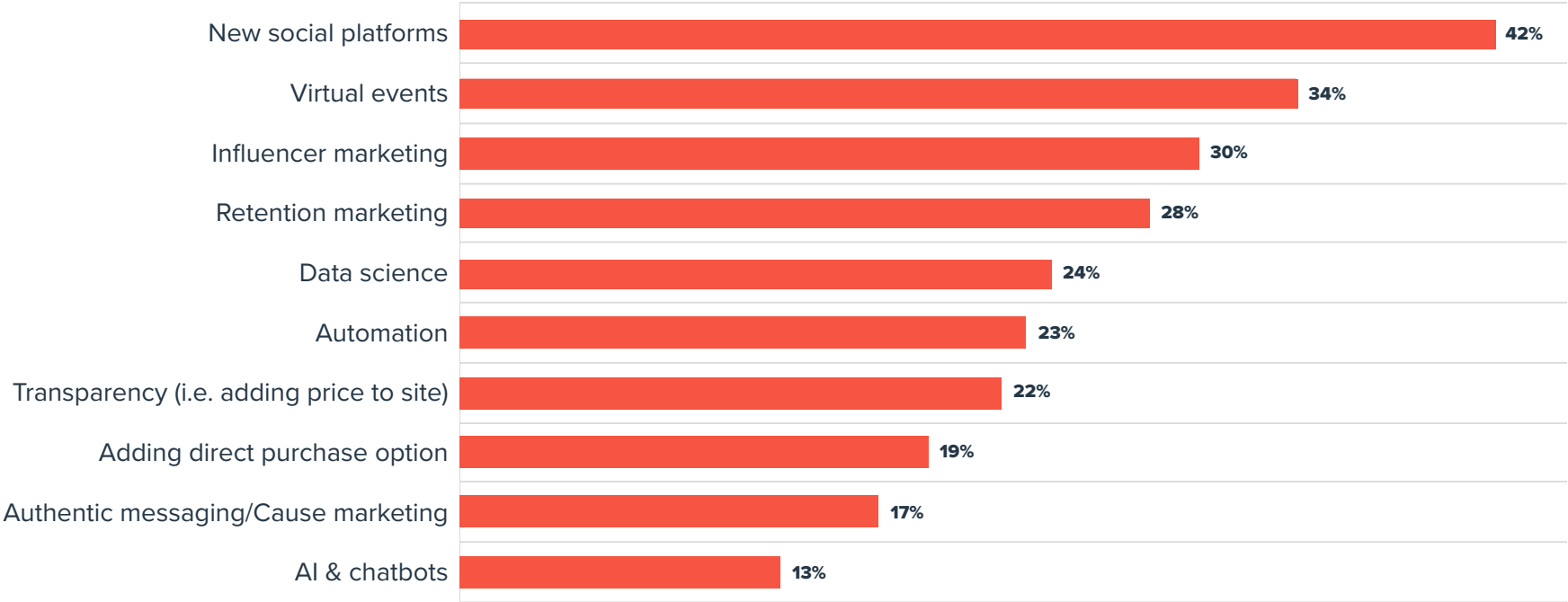


2020 presented a particular conundrum for B2B organizations: as traditional marketing strategies like conferences and networking-focused events became impossible, B2B marketers needed to find new ways to reach potential customers.

So it’s no surprise that brands embraced new social platforms, virtual events, and influencer marketing strategies that can open the door to new opportunities to drive brand awareness and grow new audiences.



Which digital marketing trends are you prioritizing?

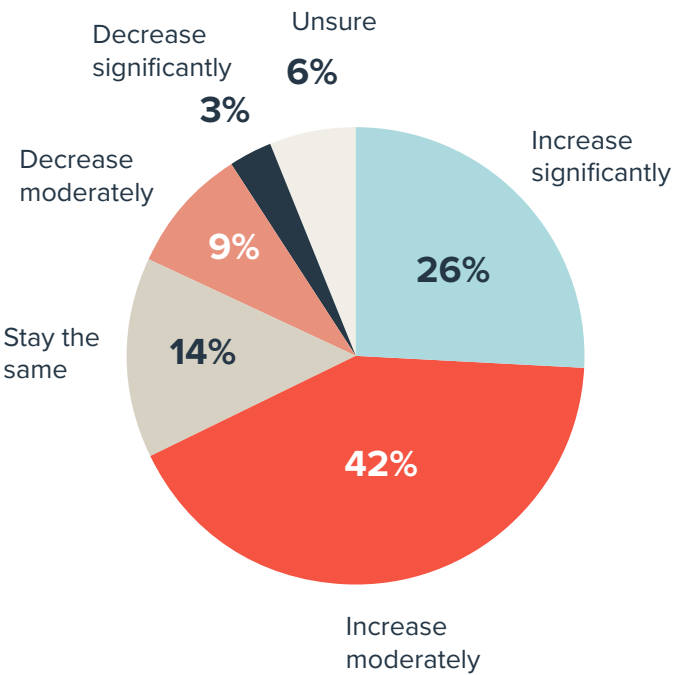


Budget



B2B companies have historically underspent on digital, but that is changing. The realities of the pandemic forced B2B brands to invest in their digital capabilities, including necessary tech, and that trend looks likely to continue.

How do you expect your overall digital marketing BUDGET to change in the year ahead?



68%

expect digital marketing budgets to increase

B2B STRATEGY SPOTLIGHT: Leveraging More Digital Budget

B2B marketers have the opportunity to capitalize on the increase in digital budgets to get more intentional and continue to grow digital programs. Leaders who championed digital initiatives and expanded their digital expertise through testing and channel diversification need to keep pushing the envelope and prove that the increased investment should continue.

Focusing on growing and maturing marketing programs and sharing quantifiable performance results that align with business objectives to the C-suite are key to cementing digital’s larger piece of the marketing budget.

Channel Strategy



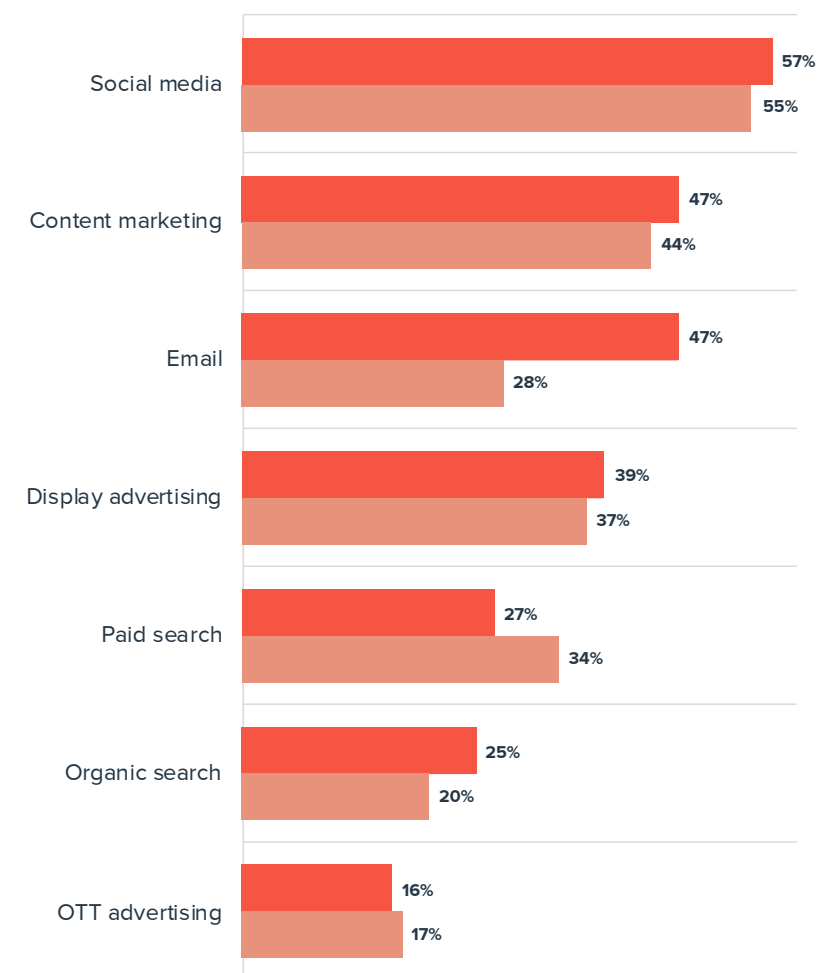
A better grasp of the complexity of the customer journey, spanning channels and touchpoints, is another way B2B digital marketers are strengthening their strategy. But all channels are not created equal when it comes to business impact or return on investment. Those results are generally aligned with budget allocation.

But direct revenue impact is not the only input in a mature B2B digital marketing strategy. As noted earlier, larger organizations indicated upper funnel challenges were top-of-mind.

- 19% of B2B marketers reported shifting from lower funnel demand generation to integrated full-funnel campaigns.
- 35% of B2B marketers reported shifting from single channel dependence to a diversified marketing strategy.

■ Which digital marketing channels are most effective at **DRIVING REVENUE**?

■ Which of the following digital marketing channels do you plan to **INCREASE BUDGET** for in the year ahead?



B2B STRATEGY SPOTLIGHT

Full-Funnel Integration



The upper funnel is an essential part of a B2B marketing strategy and will enhance the effectiveness of lower funnel performance marketing efforts. Top-of-funnel tactics that cast a wide net to bring awareness to a brand and create demand need to align with lower funnel campaigns that drive conversion and revenue.

An integrated marketing strategy meets customers where they are and focuses on delivering consistent brand interactions irrespective of the channel: when channels work together across the funnel, they all perform better. And customers increasingly expect interactions with B2B brands to reflect the same kind of seamless experience they're used to getting from B2C brands.

There are the several specific ways integrated campaigns can impact your bottom line:

- 1 You can reach a wider audience with integrated campaigns than through single channel
- 2 Consistent interactions across multiple channels keep your brand top-of-mind and push visitors closer to conversion
- 3 Promoting consistent messaging on multiple channels builds trust and mitigates frustration or disconnects with your audience
- 4 Assets can be shared between and repurposed for different marketing channels, contributing to more efficient budgets

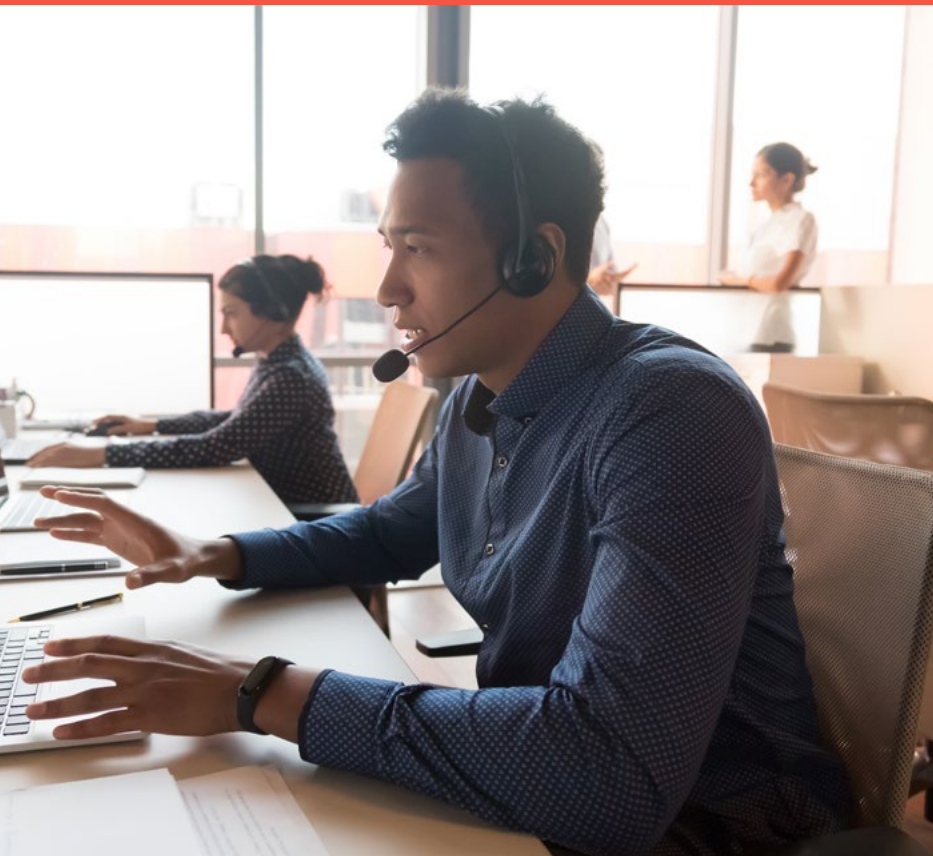
Top 5 TOP-OF-FUNNEL Tactics

- 1 Email
- 2 Brand Marketing (Television, OTT Advertising, CTV)
- 3 Organic Social Media
- 4 Video
- 5 Personalization/Content

Top 5 BOTTOM-OF-FUNNEL Tactics

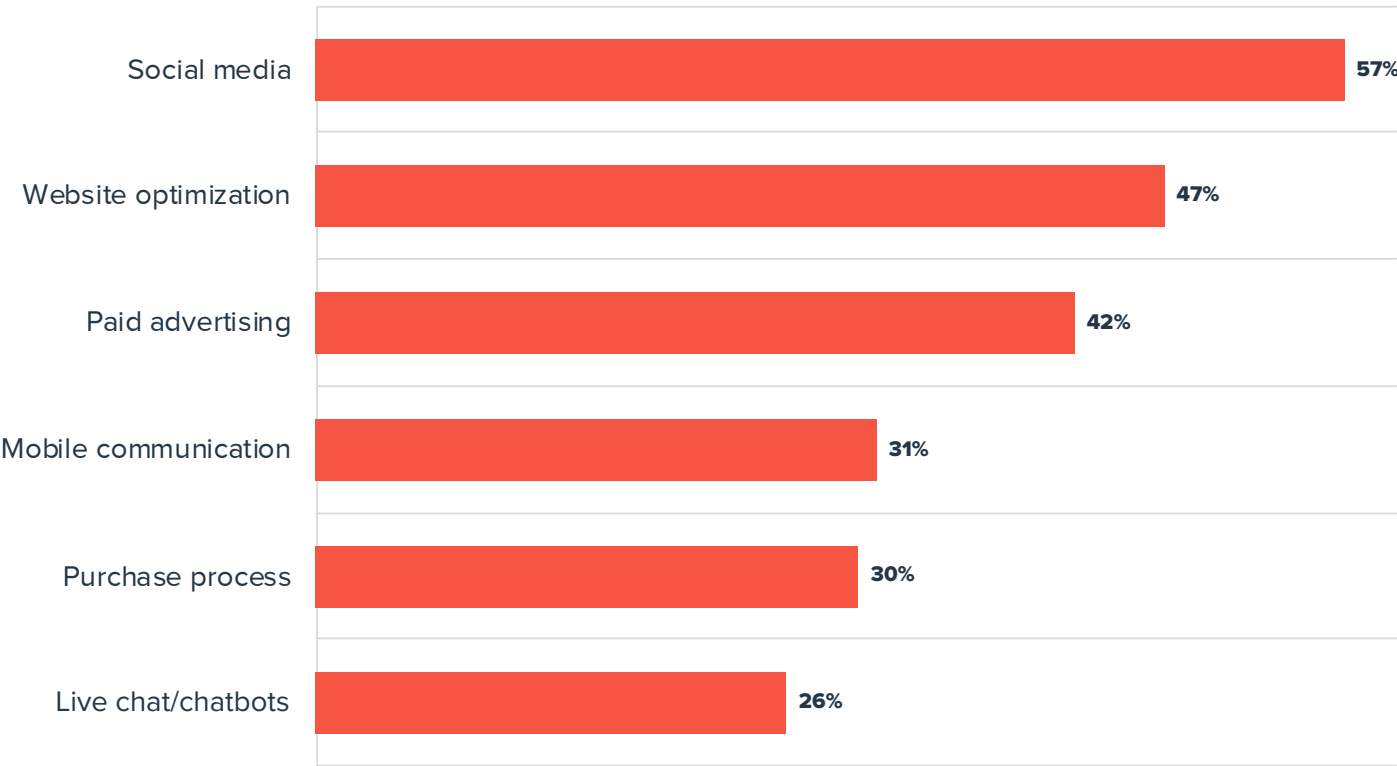
- 1 Email
- 2 Personalization/Content
- 3 Organic Social Media
- 4 Influencer Marketing
- 5 Video

Customer Experience



Improving the customer experience is listed as a top goal for nearly half (47%) of B2B marketers and is a major objective of an integrated marketing strategy. Certain digital tactics have a significant impact on that brand-customer connection.

Which areas of the digital CUSTOMER EXPERIENCE have the most impact on overall strategic success?

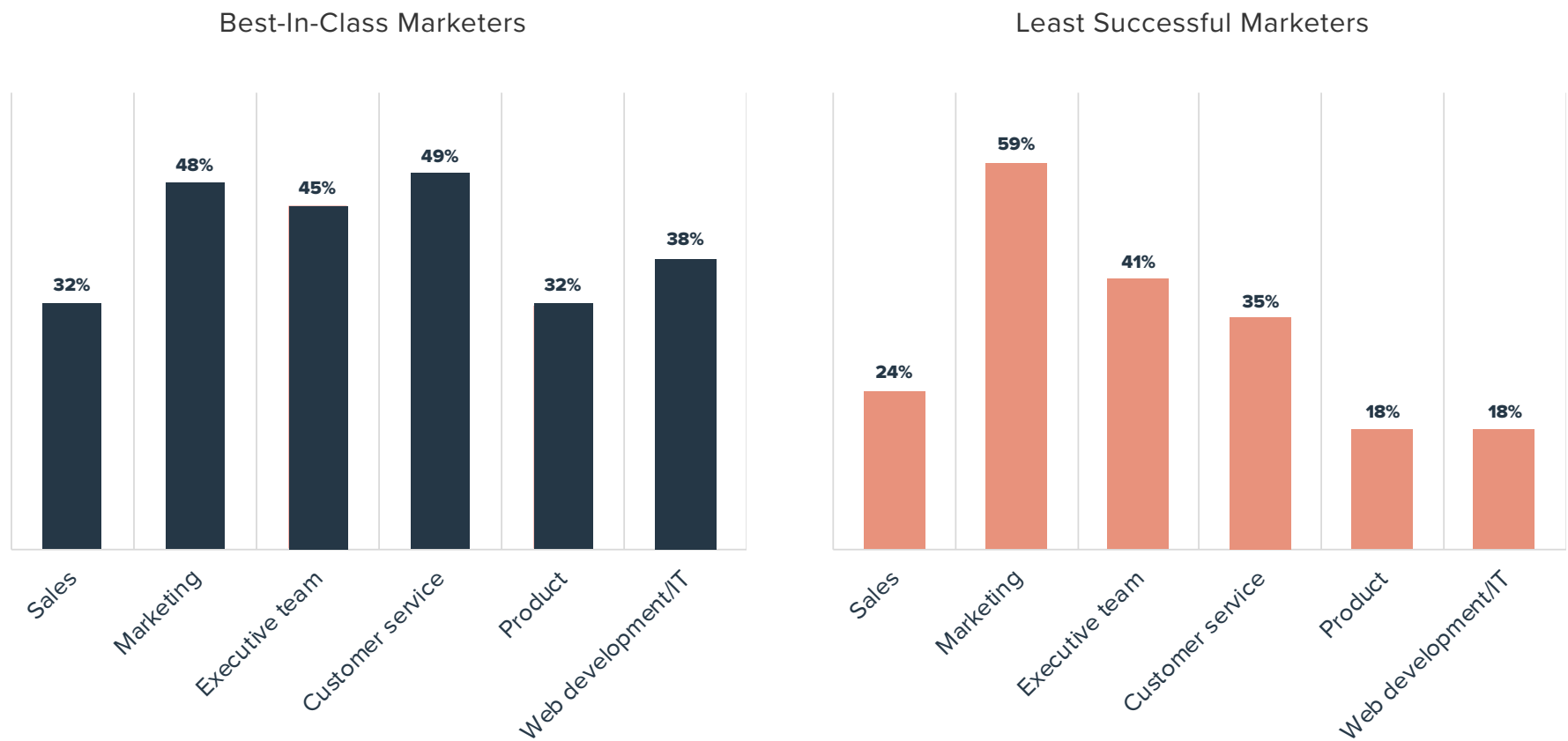


B2B STRATEGY SPOTLIGHT: Building a Seamless Experience Between Channels

Your paid and owned channels need to work together if your business is focused on improving the customer experience. While 57% of B2B marketers indicated social media has the biggest impact on the customer experience, 47% pointed to website optimization as the top priority. To maximize conversions, you need to consider how your customers interact and engage with your brand across channels and prioritize creating a cohesive experience that drives them down the funnel.

Customer experience is not just the purview of digital marketing. And the very best B2B marketers use a cross-functional approach to rise to the challenge.

Which DEPARTMENTS have CRITICAL INVOLVEMENT in developing a strategy to improve customer experience?



BEST-IN-CLASS B2B MARKETERS ARE MORE LIKELY TO INVOLVE OTHER DEPARTMENTS IN THEIR CUSTOMER EXPERIENCE STRATEGY

B2B STRATEGY SPOTLIGHT: Breaking Down Internal Silos

It’s impossible to improve the customer experience without opening up the lines of communication. Unsiloing teams and marketing strategies isn’t easy, but it doesn’t have to be impossible. To build truly integrated marketing, it’s absolutely necessary.

Start eliminating silos in your organization with these tips:

- Provide context on the big picture: What are you trying to accomplish and how can they help?
- Communicate and demonstrate a commitment to improving the customer experience and lead by example.
- Make it easy for other departments to get involved.
- Celebrate wins with the entire team. Highlight areas that other departments provided input and guidance.
- Encourage feedback to build an environment in which team members feel comfortable speaking up to share their opinions.

Death to Silos: Integrating Marketing Channels to Optimize Profitable Growth

Learn how to fully integrate your channel teams and data to bolster performance across the funnel.

DOWNLOAD THE GUIDE

Data Challenges

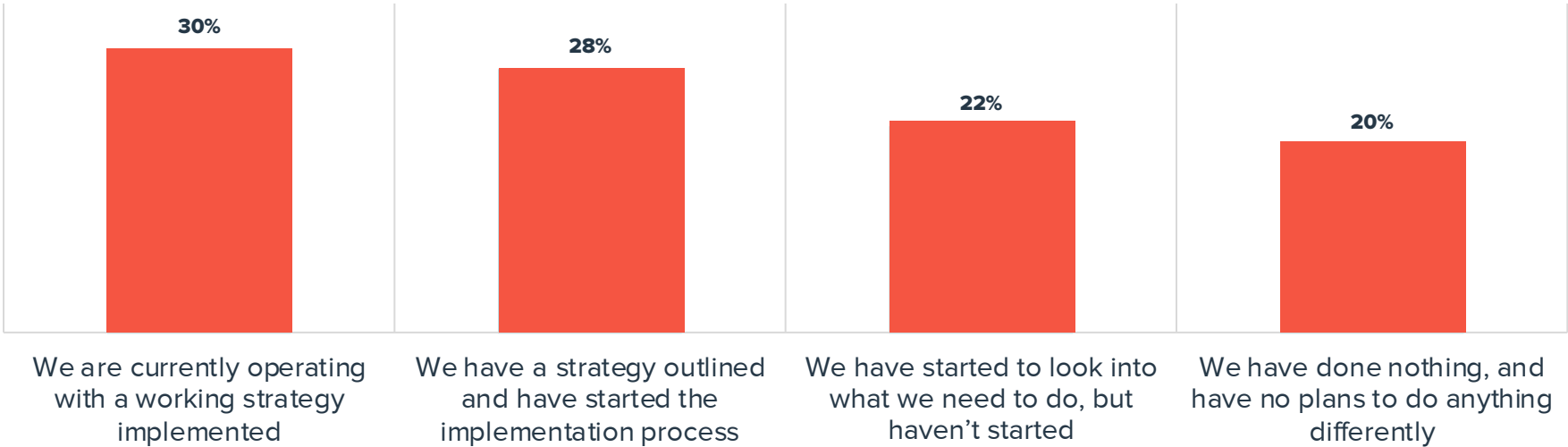
"Best-in-Class" Perspective

49% of the most successful B2B marketers have a strategy to deal with data privacy changes in place, while an additional 21% have a strategy in hand and have started the implementation process. With significant changes to user privacy, third-party cookie tracking, and the use of iOS identifiers for advertisers looming, it's up to brands to take a proactive stance on data privacy.

Decisions about data privacy have become absolutely critical for B2B marketing teams, especially as companies like Apple and Google continue to roll out restrictions. Brands need to focus on mitigating impact now, because it's increasingly clear that marketers will soon face amputation of many key data sources informing digital strategies. But 42% of B2B marketers do not have a plan in place to handle these changes.

42%
of B2B marketers do not have a plan in place to handle data privacy changes

What is the current status of your strategy to accommodate the deprecation of 3RD PARTY COOKIES?



Marketing Tech

Executive Insight on MarTech Budgets

What will executives expect as they increase marketing technology budgets?

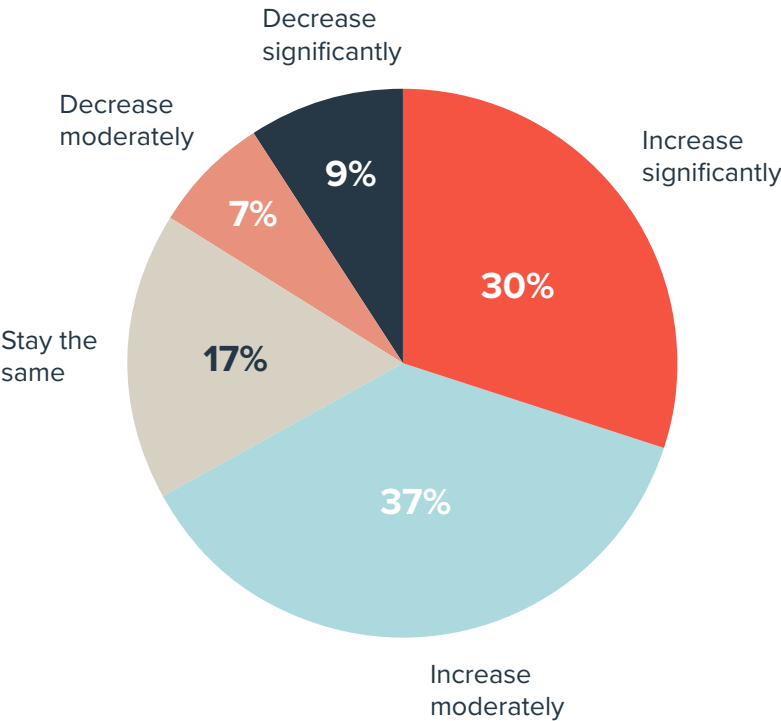
- An integrated plan from marketing: How will technologies work together to meet specific goals and impact core business objectives?
- Mapping investments to specific strategies, like customer engagement, customer journey, data quality, etc.
- Collaboration between departments to get the most out of tech investments

Investment in technology is necessary to execute on key objectives around customer experience and integrated marketing, and to address new challenges like data privacy.

67% of B2B marketing executives expect to increase spend on marketing technology

30% describe this increase as significant

How do you expect the budget dedicated to implementing new MARKETING TECHNOLOGY to change in the year ahead?

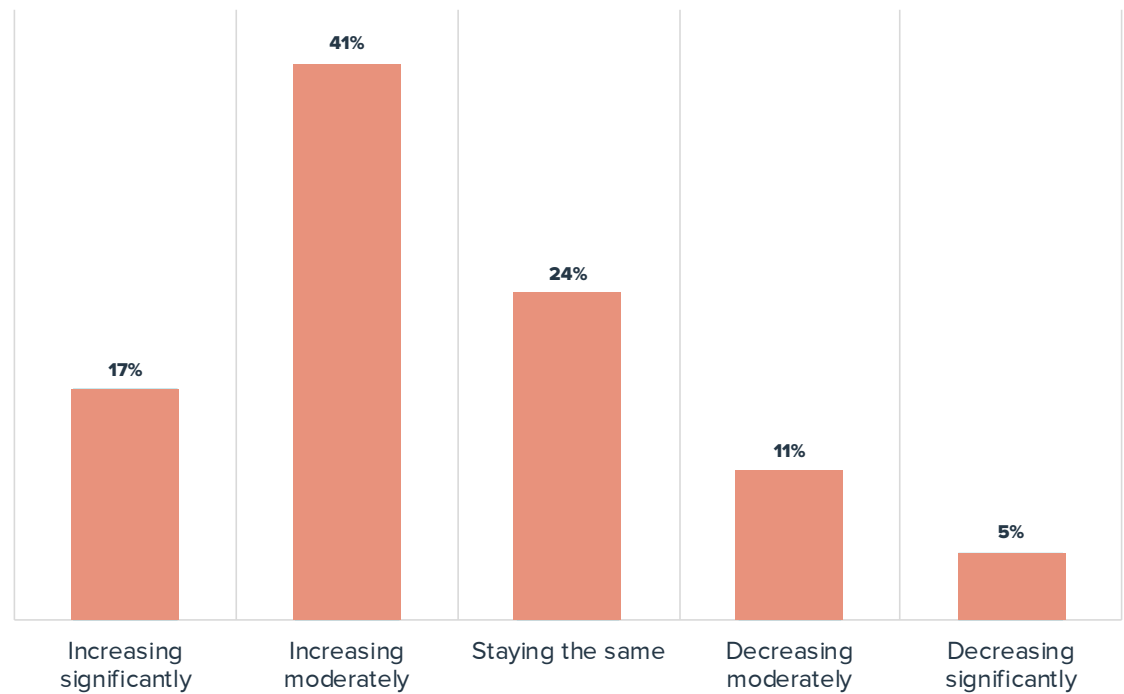


Email



Overall, B2B marketers list email in the top three most effective revenue-driving channels, but there’s a significant gap in performance and budget investment. So why are marketers spending less on one of their top channels?

How is the effectiveness of your EMAIL MARKETING strategy changing?



Only 17% of B2B marketers believe that the effectiveness of their email marketing efforts is increasing significantly. Email’s ubiquity and perceived consistency aren’t necessarily associated with exponential or transformational results or growth, which may account for the disconnect.

B2B STRATEGY INSIGHT: Rethinking Email

In a world of cookie deprecation, a strong email marketing strategy is the key to unlocking first-party, consent-driven data that can help B2B marketers facilitate more meaningful, engaging, and personalized customer experiences across the entire funnel.

Email campaigns need to work seamlessly with your other channels and touch every stage of the funnel, from early-stage efforts to capture email addresses to initiatives focused on generating leads, nurturing prospects, and keeping existing customers engaged and informed.

Lead Generation



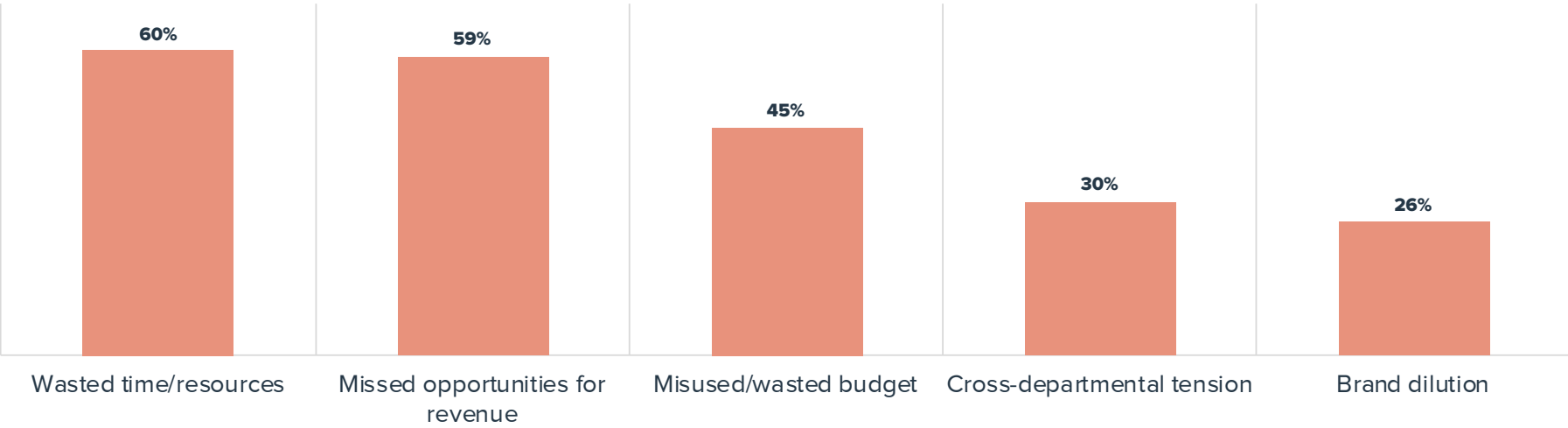
B2B marketers point to both lead quantity and quality as top digital marketing challenges, so we dug into what factors are contributing to the lead gen struggle.

Without the right hires, a robust strategy, and investment in technology, both content creation and data analysis are extremely difficult to do well. As B2B digital marketing leaders have rushed to catch up with their B2C counterparts over the last year, the top lead gen challenges represent some clear growing pains.

What makes lead generation difficult for marketers to execute?



The Cost of Lead Generation Challenges



60% | report wasted time and resources as a result of these struggles

59% | identified missed opportunities for revenue as a direct consequence of not overcoming these challenges

The Top Sales Complaints About Lead Generation



30% of B2B marketers list marketing and sales alignment as a top challenge to the success of their overall digital marketing strategy, and much of that static stems from lead generation. Sales teams are most frustrated by insufficient data and poor lead quality, and more strategic investment in strong content that helps attract and engage quality leads and better data collection will help bridge that gap.

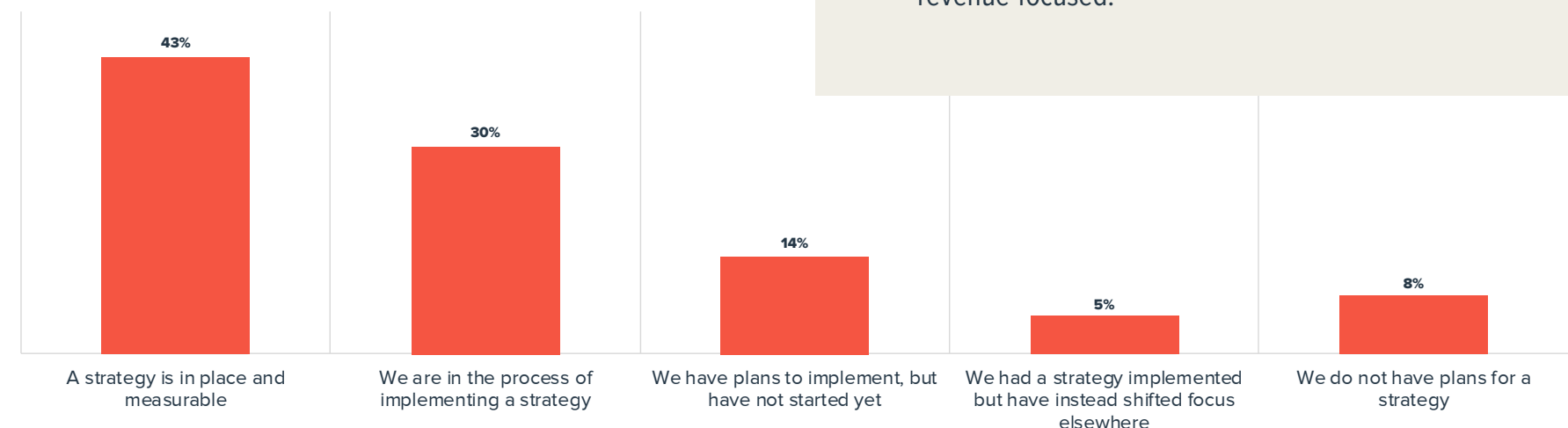
EFFICIENCY,
ALIGNMENT, AND
DATA QUALITY
ARE ALL MAJOR
COMPONENTS
OF A
SUCCESSFUL
LEAD GEN
STRATEGY

ABM



When done well, Account-Based Marketing (ABM) campaigns can cultivate engagement and drive conversion for high-value accounts by deploying targeted content and experiences. A significant majority of B2B marketers who reported the most success from their digital strategy either have a working ABM strategy in place (43%), or are in the process of implementing one (30%). Those who describe the success of their digital strategy as either "somewhat successful" or "unsuccessful" were far less likely to have ABM strategies implemented.

What is the current status of ABM strategy?



B2B STRATEGY SPOTLIGHT: Unlocking Advanced Segmentation

Think of advanced segmentation as the B2B marketer's secret shortcut to delivering better customer experiences. Better segmentation can improve the performance of sales teams, emails, and ABM campaigns because every touchpoint is more focused and informative.

It's key that your segments are differentiated enough and defined enough that companies can't fall into multiple segments or make the segmentation process over-complicated by requiring too much legwork to sort the businesses. Then prioritize which groups are most likely to get you to your goals, whether those are acquisition-, retention-, or revenue-focused.

Only 16% of B2B marketers who describe their digital marketing efforts as "somewhat successful" have a measurable ABM program in place. That number plunges to a mere 6% for marketers who indicate their digital strategies are not reaching their goals.

ABOUT THE RESEARCH PARTNERS

Wpromote

Wpromote is an award-winning digital marketing agency with seven offices across the United States. Named the Leader in the [Forrester Performance Marketing Wave](#), Wpromote helps brands Think Like A Challenger to drive transformational growth. Challenger clients include leading brands such as Adobe, Whirlpool, Zendesk, TransUnion, Brinks, Frontier Airlines, and more.

[Learn more about Wpromote](#)

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Ascend2

Marketing technology companies and digital marketing agencies partner with Ascend2 to supplement their marketing content, generate leads, and engage prospects to drive demand through the middle of the funnel.

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